A BOOK OF RETIREMENT HISTORY

The Retiree's Portfolio

Choosing funds or holding the index: thirty years of Vanguard funds, and a century and a half of market history

https://mwahal.github.io/retirement_research/

History, not a forecast · not investment advice

© ScribbledLines, Inc.

THE QUESTION

Choose the best funds every year, or hold two index funds and never choose?

$1,000,000

invested on the first trading day of retirement

$40,000

withdrawn at the end of year one, then 3% more each year

Every year

from 1995 a retirement could have begun, with the funds Vanguard really offered

© ScribbledLines, Inc.

HOW EVERY RESULT IS READ

The floor first, the ending second

1. Worst lowest value

The deepest any retiree’s money fell, with the month and how far into the retirement

2. Median lowest value

The low point of the typical retirement

3. Worst ending

What the unluckiest retiree had left

4. Median ending

What the typical retiree had left

© ScribbledLines, Inc.

History, not a forecast

Every result is a retirement that actually happened. None of it says which funds or which mix will do best next, and none of it is a recommendation.

Said at the start of the book, and again at every part

© ScribbledLines, Inc.

TWENTY-YEAR RETIREMENTS, BEGUN 1995–2006 · 70% STOCKS, 30% BONDS

Twelve real retirements, read floor first

portfolio	lowest value: worst (when)	lowest value: median	worst ending	median ending
SPY (all stocks)	$290k (Mar 2009)	$515k	$385k	$2.42M
Plain index: 70% 500 Index, 30% Total Bond Market	$492k (Mar 2009)	$674k	$835k	$2.10M
Bonds alone (Total Bond Market)	$545k (Dec 2024)	$899k	$545k	$906k
Cash alone (Treasury bills)	$120k (Dec 2022)	$189k	$120k	$189k
Menu each January, top two	$515k (Mar 2009)	$755k	$692k	$1.78M
List frozen at retirement, top two	$476k (Mar 2009)	$721k	$943k	$2.07M
Picked once and kept, top two	$352k (Mar 2009)	$753k	$408k	$2.83M

Start $1M; $40,000 a year rising 3%; nominal dollars, before taxes · The answer in brief, chapters 18–20

© ScribbledLines, Inc.

CHOOSING FUNDS

At 70/30, no way of choosing funds beat the plain index on both the floor and the median ending

Menu each January

Floor **$515k** against **$492k**, higher

Median ending **$1.78M** against **$2.10M**, lower

List frozen at retirement

Floor **$476k**, lower

Median ending **$2.07M**, lower

Picked once and kept

Floor **$352k**, the deepest

Median ending **$2.83M**, the highest: a few fortunate picks

Floor = worst lowest value; against the plain index at 70/30 · chapters 18–20 and 26

© ScribbledLines, Inc.

THE SPLIT

More in bonds raised every floor and lowered every median

the plain index, 20 years, 1995–2006	70/30	60/40	50/50
Lowest value: worst	$492k	$573k	$662k
Lowest value: median	$674k	$721k	$771k
Worst ending	$835k	$932k	$991k
Median ending	$2.10M	$1.91M	$1.63M

The same holds for every method · the answer in brief, chapter 9

© ScribbledLines, Inc.

The hardest retirements began long before the study's fund prices

79 twenty-year retirements, begun 1928–2006	lowest value: worst (start year)	ran out
Stocks alone (S&P 500)	$0 (1929, ran out 1942)	2 of 79
70% stocks, 30% bonds	$0 (1929, ran out 1948)	1 of 79
60% stocks, 40% bonds	$105k (1929)	0 of 79
50% stocks, 50% bonds	$228k (1929)	0 of 79

With withdrawals rising with inflation, the hardest thirty-year retirements began in **1965 and 1966**.

© ScribbledLines, Inc.

MOVING THE SPLIT · A HARD STOP TO 20/80 AFTER A 20% FALL

It raised the floor on the study’s years, not over the long history

The study’s index funds, 1995–2006

Worst lowest value **$755k** against the plain index’s **$492k**

Median ending **$1.81M** against **$2.10M**

Monthly history from 1872

With withdrawals rising with inflation, its worst lowest value was **$232k** (the 1903 retirement)

Below every fixed mix; 50/50’s was **$490k**

© ScribbledLines, Inc.

A small rise in the floor, at a large cost in the ending

20 years, 70/30, 1995–2006	the study’s rule	two-year bucket
Plain index: lowest value, worst	$492k	$519k
Plain index: median ending	$2.10M	$1.78M
Menu each January: lowest value, worst	$515k	$342k
Menu each January: median ending	$1.78M	$1.24M

© ScribbledLines, Inc.

BEFORE RETIREMENT · $10,000 SAVED AT THE END OF YEAR ONE, 3% MORE EACH YEAR

Saving into stocks: a deep floor early, the most over time

45.8%

of the money put in: the worst a stocks-alone saver held, December 1931

11.4%

median yearly return on the deposits over 20 years in stocks; bonds 4.0%, cash 3.5%

21 years

for the median saver to reach $1M in stocks; about 32 in cash

Yearly history from 1928 · Part IX, chapters 28–36

© ScribbledLines, Inc.

WHAT THE RECORD SHOWS

The split decided the floor; choosing funds did not

It shows

- At 70/30, no way of choosing funds beat two index funds on both the floor and the median ending
- More in bonds: a higher floor, a lower median
- The hardest retirements began in 1929 and in 1965–66

It does not show

- The future: twelve overlapping retirements are one or two views of the market
- Anything after taxes and trading costs
- What any reader should do: none of it is advice

Chapters 26 and 27 set out the evidence and its limits

© ScribbledLines, Inc.

READ THE WHOLE BOOK, FREE

The Retiree's Portfolio

Thirty-six chapters, every table and chart, and every caveat

https://mwahal.github.io/retirement_research/

History, not a forecast · not investment advice

© ScribbledLines, Inc.